USA: Pushing Back Fed Rate Hike on Lower Core PCE Inflation; Q2 GDP Revised Up to +2.2%; Trade Deficit Widens More Than Expected;

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BOTTOM LINE: The core PCE price index rose 0.25% in August, somewhat below expectations, and the year-over-year rate now stands at 3.01%, well below expectations. The downward revision to year-over-year core PCE growth resulting from the methodological changes was larger than we expected and mostly reflected a larger revision to the portfolio management component. Based on today's inflation report, we now expect 3.0% growth for core PCE on a Q4/Q4 basis, well below the median FOMC participant's forecast of 3.4%. Coupled with comments from New York Fed President John Williams yesterday, we now think that an October hike is unlikely. We are pushing back the second hike in our forecast to December, and we see a strong chance that the FOMC will ultimately conclude that additional rate hikes are unnecessary. Real GDP was revised up by 0.7pp to +2.2% in its third Q2 release (quarter-over-quarter annualized), largely reflecting upward revisions to consumption and investment growth. The annual revisions to the national accounts were released today. Real GDP growth was revised up by 0.4pp to +2.5% in 2026Q1 but revisions to prior years were modest. The savings rate was revised up significantly and stands at 4.1% in August. The goods trade deficit widened by more than expected in August. The details of the personal income and spending report were firmer than our previous assumptions, while the details of the Advance Economic Indicators report were on net weaker: we lowered our Q3 GDP tracking estimate by 0.1pp to +3.3% (quarter-over-quarter annualized).

US MAP:

Personal spending 0 (1, 0)

ADP 0 (3, 0)

KEY NUMBERS:

Core PCE price index +0.25% (MoM) for August vs. GS +0.27%, median forecast +0.3%, prior revised +0.13%

Core PCE price index +3.01% (YoY) for August vs. GS +3.17%, median forecast +3.3%, prior revised +2.98%

PCE price index +0.31% (MoM) for August vs. GS +0.33%, median forecast +0.3%, prior revised +0.05%

PCE price index +3.42% (YoY) for August vs. GS +3.58%, median forecast +3.7%, prior revised +3.36%

GDP (third estimate) +2.2% (qoq ar) for Q2 vs. GS +1.5%, median forecast +1.5%, prior revised +2.5%

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Personal consumption (third estimate) +3.8% (qoq ar) for Q2 vs. GS +3.4%, median forecast +3.4%, prior revised +0.7%

Personal income +0.2% for August vs. GS +0.5%, median forecast +0.5%, prior revised +0.3%

Personal spending +0.9% for August vs. GS +0.8%, median forecast +0.9%, prior revised +0.1%

Advance goods trade balance -$132.6bn for August vs. GS -$116.0bn, median forecast -$115.3bn, prior revised -$118.9bn

ADP employment +90k for September vs. GS +75k, median forecast +75k, prior revised +36k

MAIN POINTS:

1. The core PCE index increased +0.25% in August, somewhat below expectations, and the year-over-year rate increased 3.01%. We estimate that the Dallas Fed's trimmed mean PCE measure increased 0.16% month over month and 2.20% year over year.

2. Year-over-year core PCE was revised downward 0.36pp in July to 2.98%, primarily reflecting the methodological revisions to the calculation of the portfolio management (-0.23pp), computer accessories and software (-0.11pp), and legal services (+0.01pp) components of PCE. These downward revisions were larger than we expected, mostly reflecting a larger revision to the portfolio management component than we expected.

3. Today's inflation report, especially the downward revisions resulting from the methodological changes, imply that core PCE inflation is likely to substantially undershoot the median FOMC participant's forecast of 3.4% for 2026 on a Q4/Q4 basis. We now expect a 3.0% increase for core PCE in 2026 on a Q4/Q4 basis. Coupled with comments from New York Fed President John Williams yesterday that "with the policy action we took at our September meeting, there is no need for urgency, and we have time to gather more information," we now think that an October hike is unlikely. We are pushing back the second hike in our forecast to December, and we see a strong chance that the FOMC will ultimately conclude that additional rate hikes are unnecessary.

4. Real GDP was revised up by 0.7pp to +2.2% in Q2 (quarter-over-quarter annualized), largely reflecting upward revisions to consumption (+0.4pp to +3.8%) and investment (+1.9pp to +4.6%) growth. The strength in consumer spending in Q2 likely continued to reflect the boost to consumer cashflow from larger-than-usual tax refunds, but we continue to expect consumer spending growth to slow somewhat in 2026Q4 as the fiscal support fades and the headwind from higher energy prices remains. Stronger investment growth reflected an upward revision to private fixed investment (+0.5pp to +9.0%), driven by data center investment in the nonresidential structures category (+1.9pp to +0.1%), and an upward revision to the contribution from inventories (+0.2pp to -0.5pp).

5. Reflecting today's annual revisions to the national accounts, real GDP was revised up by 0.4pp to +2.5% in Q1 (quarter-over-quarter annualized), largely reflecting upward revisions to the contributions from consumption and exports. Revisions for prior years were modest: real GDP growth on a Q4/Q4 basis was unrevised for 2025 (+2.0%) and 2023 (+3.4%), and slightly revised down for 2024 (-0.2pp to +2.4%) and up for 2022

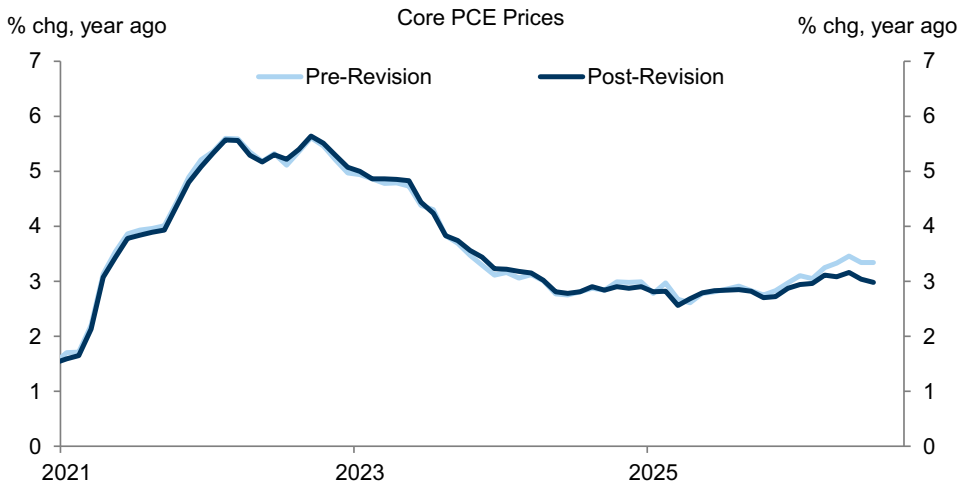
(+0.1pp to +1.3%).

6. Personal income increased 0.2% in August, below expectations. Year-over-year disposable personal income growth reached 4.8% in August. Personal spending rose 0.9% in August, in line with consensus expectations. The savings rate decreased 0.5pp to 4.1% in August, after a large 1.6pp upward revision to the savings rate last month driven by an upward revision to the level of disposable personal income (+1.2pp contribution) and a downward revision to personal spending as a share of DPI (+0.4pp).

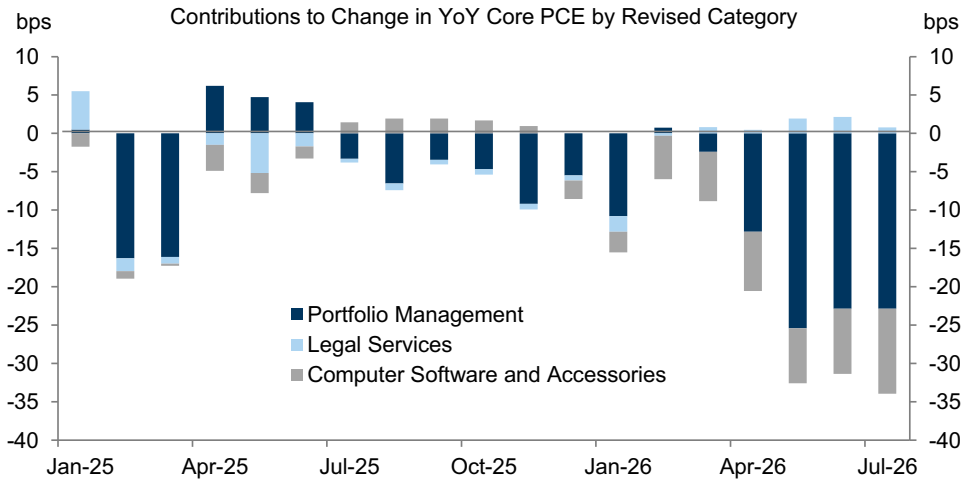
7. According to the Advance Economic Indicators Report, the goods trade deficit widened by $13.7bn to $132.6bn (seasonally adjusted) in August, well above expectations. Goods exports increased by $3.7bn to $203.4bn, largely driven by an increase in industrial supplies exports. Goods imports increased by $17.4bn to $336.1bn, driven by a large increase in industrial supplies and capital goods imports.

8. According to the ADP report, private sector employment rose by 90k in September (month-over-month, seasonally adjusted), slightly above consensus expectations. Employment in the services sector rose 59k, primarily reflecting a 55k increase in education and health services and a 22k increase in leisure and hospitality employment that were partly offset by a 16k decrease in financial activities employment. Employment in goods-producing industries increased by 31k, driven by a 17k increase in manufacturing and a 15k increase in construction employment. ADP's new median annual base pay measure, which better tracks other measures of wage growth than its gross pay measure, increased 3.0% for job stayers, unchanged from the August pace, and 4.8% for job changers, 0.1pp above the August pace. We left our forecast for August nonfarm payroll growth unchanged at +80k (vs. +90k consensus) ahead of Friday's release.

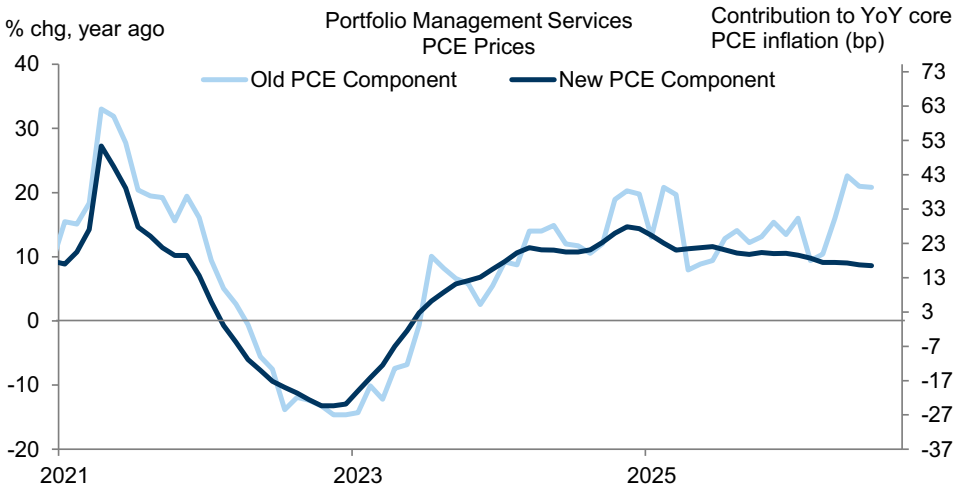
9. The details of the personal income and spending report were firmer than our previous GDP tracking assumptions. While the trade-related details of the Advance Economic Indicators report were much weaker than our previous assumptions, suggesting notably stronger imports growth in Q3 than we previously assumed, the inventories details were significantly stronger. On net, we lowered our Q3 GDP tracking estimate by 0.1pp to +3.3% (quarter-over-quarter annualized).



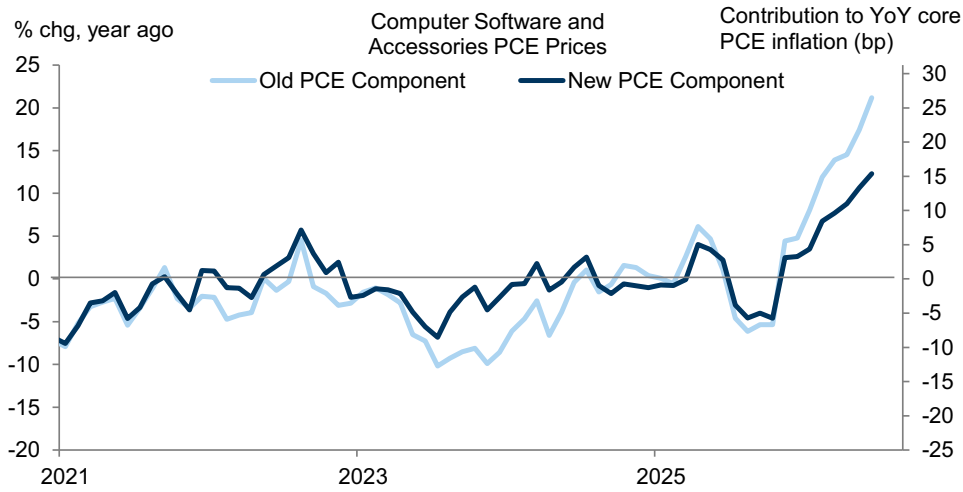
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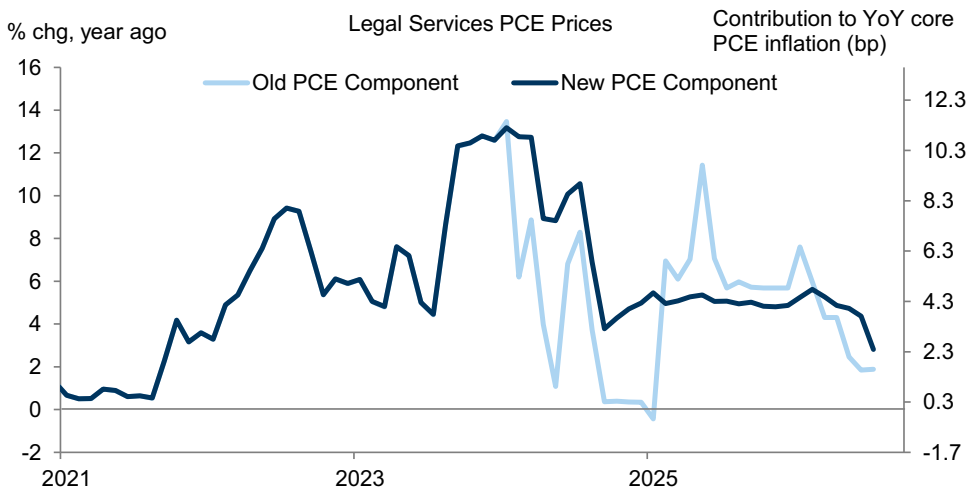
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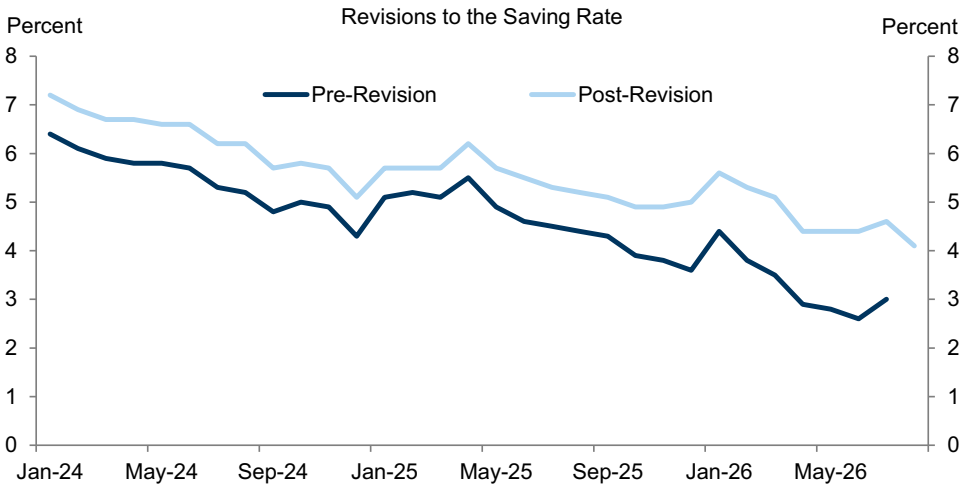
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